

DRAFT CONCEPT PROPOSAL: Offshore Wealth Preservation & FX Hedging Facility

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1. Executive Summary

This proposal outlines a structured cross-border investment facility designed to provide Kenyan capital holders with immediate offshore exposure, hard-currency (GBP) yields, and a highly asymmetric hedge against the macroeconomic risk of a Kenyan Shilling (KES) devaluation.

By utilizing a Kenyan Special Purpose Vehicle (SPV) to capitalize a UK-based Corporate Entity (Family Investment Company - FIC) backed by premium UK real estate, investors can legally structure capital flight, secure their principal against UK brick-and-mortar assets, and participate in upside profit-sharing in the event of a severe KES currency shock.

This is a finite-term investment. The facility is designed to execute the hedge, distribute profits, and provide a defined trailing yield before fully cashing out investors, offering a clean exit strategy.

2. The Macroeconomic Thesis

Kenya's sovereign debt-service-to-revenue ratio currently fluctuates between 90% and 95%. Historical precedent in emerging markets dictates that this level is unsustainable in the medium term (1-5 years) without aggressive restructuring or external shocks triggering a default scenario.

A restructuring or default event inevitably leads to a severe loss of international confidence and a violent devaluation of the local currency. For individuals and entities holding significant KES reserves, the risk of purchasing power collapse is acute. This facility is engineered specifically to turn that localized macroeconomic risk into an offshore financial advantage.

3. The Investment Structure

The facility operates via a dual-entity structure to ensure legal compliance, tax efficiency, and asset security. Investors act as secured creditors and temporary revenue-share partners, not indefinite property owners.

1. **The Kenyan SPV (The Lender/Partner):** A locally registered LLC that pools KES capital from domestic investors.
2. **The UK FIC (The Borrower/Asset Holder):** A UK-registered corporate entity that receives the capital to acquire and manage a premium, income-generating UK residential property.

The Underlying Asset: The target asset is a high-yield, 4-bedroom residential property located in the premium Centenary Quay development in Woolston, Southampton, UK (Valuation: ~£360,000). This asset generates consistent GBP rental income, providing the cash flow to service the facility until the exit event is triggered.

4. Dynamic Investor Tranches

Understanding that risk appetites vary, the SPV will offer tiered participation options to investors. The total capital required is approximately 70,000,000 KES.

Tranche A: The Wealth Preservation Tier (Fixed Term)

Designed for investors seeking capital safety and a fixed GBP-backed yield over a defined term (e.g., 5 years).

- **Mechanism:** A standard cross-border corporate loan.
- **Target Yield:** 4% fixed annual interest, serviced via UK rental income.
- **Advantage:** Immediate offshore capital deployment and protection from domestic inflation, backed by a tangible UK asset.

Tranche B: The FX Hedge & Trailing Yield Tier (Event-Driven Exit)

Designed for investors with a strong conviction of a KES collapse within the next 1-5 years.

- **Mechanism:** A Profit Participation Loan (PPL) transitioning into a finite Revenue Share Agreement.
- **Base Yield:** 2% fixed annual interest.
- **The Devaluation Sweetener:** In the event of a significant KES devaluation, the UK FIC will execute a UK mortgage refinance to settle the heavily discounted KES debt. Tranche B investors will receive a profit-share bonus (e.g., 20% to 30% of the FX equity gained).
- **Trailing GBP Yield:** Upon settlement of the initial loan, Tranche B investors will retain a contractual Revenue Share in the property's gross rental income (paid in GBP) for a strict, defined post-settlement period (e.g., 24 to 36 months).

5. Sequence of Operations & Exit Strategy

1. **Capital Pooling:** Investors fund the Kenyan SPV in KES.
2. **Cross-Border Deployment:** The SPV executes a legally compliant overseas corporate loan to the UK FIC.
3. **Asset Acquisition & Yield Generation:** The UK FIC purchases the Southampton property and immediately initiates tenancy, generating ~£1,700 - £1,900 pcm to service the SPV debt.
4. **The Trigger Event:** Upon a macroeconomic shock and KES devaluation, the UK FIC executes a UK Buy-to-Let refinance.
5. **Settlement & Distribution:** The UK FIC settles the KES debt at the new, favorable exchange rate. Principal is returned to investors alongside the agreed Profit Participation sweeteners.
6. **Trailing Yield & Final Exit:** Tranche B investors receive their trailing rental share for the agreed duration (e.g., 2 years). Once this term expires, the SPV's interest in the asset sunsets entirely. The investors are fully exited with their principal and profits, and the UK FIC retains 100% unencumbered ownership of the property.

6. Security and Compliance

- **Collateral:** The investment is indirectly collateralized by the UK real estate asset. In the event of FIC default prior to settlement, the Kenyan SPV holds a senior creditor claim against the UK corporate entity's assets.
- **Regulatory Adherence:** All capital transfers will be executed via compliant corporate banking channels, framed legally as overseas direct investment/commercial lending to satisfy CBK and KRA oversight.

7. Next Steps & Expressions of Interest

This is a preliminary draft concept. We are currently seeking feedback from strategic partners and potential capital contributors to refine the Tranche allocations and finalize the Profit Participation

metrics.

Interested parties are invited to discuss term sheet modeling and legal structuring.